these are the fabled 'animal spirits' that growth-oriented governments strive to keep enthused!

The data on Projects and New Investments shows that demonetization had a significant negative impact on both business confidence and investments. This data collated by CMIE covers the entire spectrum of listed and unlisted companies, and is based on their disclosures to stock exchanges, government bodies, and other public information. It is, therefore, factual and not anecdotal evidence.

According to CMIE, new investment proposals by India Inc. fell to a low of ₹1,25,000 crore in the December 2016 quarter, compared to the average ₹2,36,000 crore worth of new investments seen per quarter in the preceding nine quarters of the NDA government.

The impact of demonetization was immediate and very negative as summarized in the table below:

Table 7: Impact of Demonetization on New Projects/ Investments

Projects/ Investments	1 October–8 November 2016	9 November–31 December 2016	Decline %
New Inv. Proposals	227 proposals: ?81,800 crore	177 proposals: ?43,700 crore	46 %
Avg. New Projects Announced	6	3	50 %
Avg. Daily Value New Investments	?2097 crore	?824 crore	60 %

Source: The CMIE database on investments extends to over two decades. According to this data, the March 2009 quarter saw the highest value of investment proposals, at ₹8,21,564 crore, while the greatest number of projects were announced in the March 2011 quarter, a total of 1,676.

Unfortunately, the precipitous decline in investor confidence continued well after demonetization. CMIE reported that new